

ASEAN Banks

Upgrade BBL to OW, DBS PT stays at S\$70, KBank risks stalling

Multi-year dividend visibility and WM growth are key drivers of re-rating for DBS, in our view. With the possibility of the next move by Feb being a hike ([link](#)), it should allow DBS to deliver high-teens RoE in 2028-30. Hence, the current weakness post 4Q miss ([link](#)) allows an entry point for a high-quality franchise. BBL has quite a strong balance sheet, but RoE has been trailing CoE. An improvement in payout, lower provisions and faster loan growth could address this dichotomy. The recent shift in policy landscape ([link](#)) in Thailand allows for such a possibility. Hence, we upgrade the stock to OW. KBank has moved up post the Gulf stake moving closer to 10% ([link](#)). From here, any increase in stake will need BoT approval, which may end up being an involved process. In the meantime, we expect negative revisions, with DPS/buyback being almost fully discounted. Hence, we stay with our Neutral rating.

- **DBS is positioned to return S\$21.4bn of capital** (13% of MCap) via dividends (regular + special) and buyback over the next 22M. The stock's decline post 4Q25 miss ([link](#)) is an opportunity, in our view. We expect recovery from 1Q26 as net new money remains robust (S\$12bn in 4Q), market trading has started strong and credit costs should normalize. We forecast 17% RoE by 2028, as NIM compression starts fading. CET1 could improve by ~30bps from reversal of MAS operational risk charge (1.5x from 1.8x multiplier). While buyback has paused, a resumption is possible. We forecast S\$750mn of buyback this and next year, with the remainder paid out as special dividends of 20c each in FY26/27E, over and above the 60c already announced. NIM should remain a drag as SORA continues to come off, along with lagged re-pricing on the fixed book (S\$80bn hedges rolling off this year). Fed hikes could be a risk given net USD floating liabilities of S\$40bn, but second order effects should filter through to SORA over time, and hence a net positive.
- **We are upgrading BBL to OW**, with our forecasts 8-12% above Bloomberg consensus for 2026-28. The bank's loan growth guidance of 2-4% appears reasonable, given almost a quarter of loans are international and almost half are corporate-led. We acknowledge that capital management guidance is not necessarily definitive, but the direction of travel appears promising. We forecast DPS increases (to Bt9/10.50/11/11.50 in FY25-28E), as CET1 remains high at 17.2% CET1. We expect a payout of 37-44% in 2025-28, with a mix of regular and special. Further, LLR/loans stand at 12%, which provides a strong buffer against PPoP weakness. We forecast 90/80bps of credit costs in 2026/27, which underpins our above Street forecasts.
- **KBank has gained 9% MTD** (vs. SET 13%), following election results and higher GULF ownership (9.95% incl. treasury shares). Any further increase would require BoT approval. Details of the AGM agenda will provide a clue on possible next steps, in case GULF asks for a board seat. On operating results, we expect negative revisions, led by 27bps NIM compression and normalization of treasury gains from FY25 highs. Accordingly, we see ROA/ROE coming off to 0.99-1.10% and 8.0-8.9% from FY26-28E, which appears fair with the stock trading at 0.84x 2026E PB.

See page 25 for analyst certification and important disclosures, including non-US analyst disclosures.

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
DBS Group Holdings	DBS SP	129,165	SGD	57.62	OW	n/c	70.00	Dec-26	n/c	n/c
Kasikornbank PCL	KBANK TB	15,401	THB	205.00	N	n/c	210.00	Dec-26	190.00	n/c
Bangkok Bank	BBL TB	10,248	THB	168.00	OW	N	200.00	Dec-26	165.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 19 Feb 26.

Upgrade BBL to OW, DBS PT stays at S\$70, KBank risks stalling

Singapore financials should continue to re-rate, led by DBS and SGX. Multi-year dividend visibility and WM growth are key drivers of re-rating; with possibility of next move by Feb being a hike ([link](#)) allowing DBS to deliver high-teens RoE in 2028-30. Hence, the current weakness post 4Q miss ([link](#)) allows an entry point for a high-quality franchise. BBL has been a bank with quite a strong balance sheet, but with RoE consistently trailing CoE. An improvement in payout, as well as a pick-up in corporate credit growth, could address this dichotomy. The recent shift in policy landscape ([link](#)) in Thailand allows for such a possibility. Hence, we upgrade the stock to OW. KBank has gapped up post the news of the Gulf stake moving closer to 10% ([link](#)). From here, any increase in stake will need BoT approval, which may end up being an involved process. In the meantime, we expect negative revisions at the bank, with DPS/buyback being almost fully discounted. Hence, we stay with our Neutral rating on the stock.

Table 1: ASEAN Banks: PT and Rating changes

LC	PT (old)	PT (new)	% change	Rating (old)	Rating (new)
DBS	70	70	0%	OW	OW
BBL	165	200	21%	N	OW
KBANK	190	210	11%	N	N

Source: J.P. Morgan estimates.

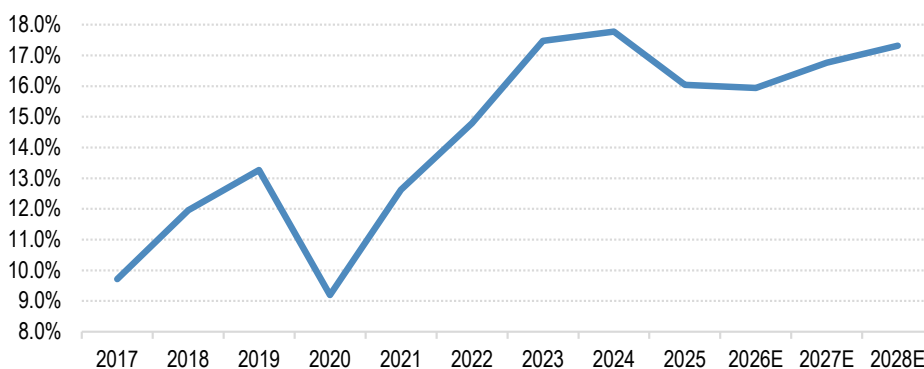
Table 2: ASEAN Banks: EPS estimates vs Bloomberg consensus

%	FY26E	FY27E	FY28E
DBS	-1%	0%	1%
BBL	8%	10%	12%
KBANK	-3%	-7%	-1%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

We forecast 15.9/16.8/17.3% RoE for 2026-28E

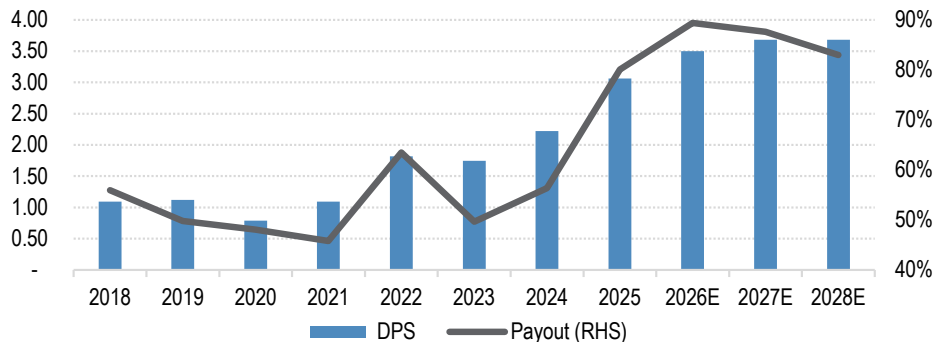
Figure 1: DBS: RoE trends



Source: Company reports and J.P. Morgan estimates.

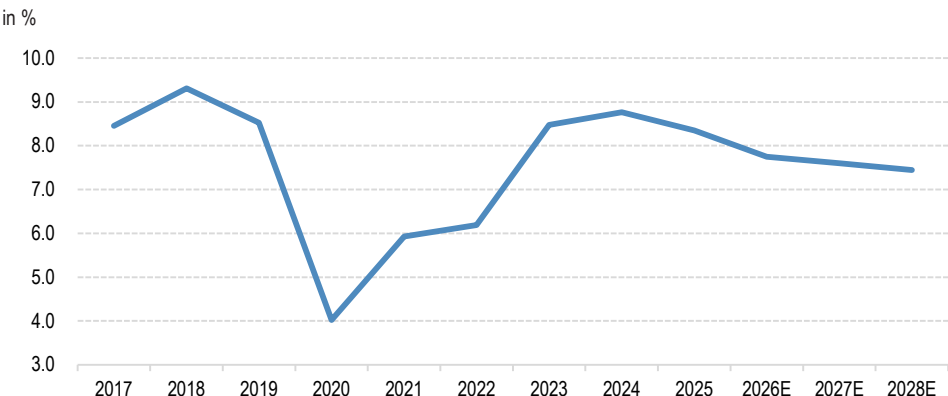
We forecast 89/88/83% payout for 2026-28E.

Figure 2: DBS: DPS and payout trends



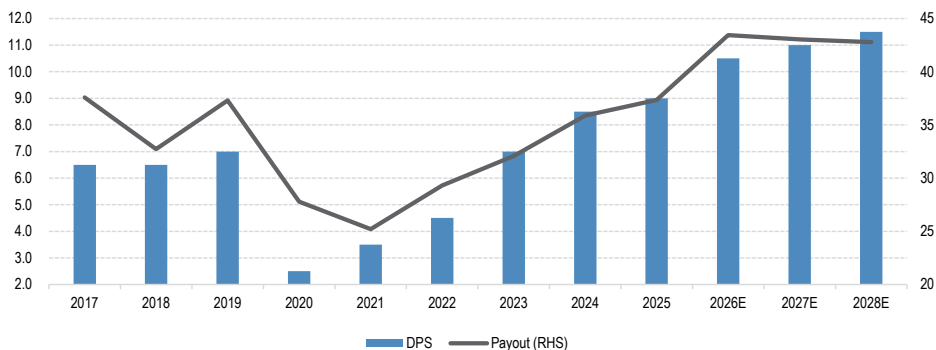
Source: Company reports and J.P. Morgan estimates.

Figure 3: BBL: RoE trends



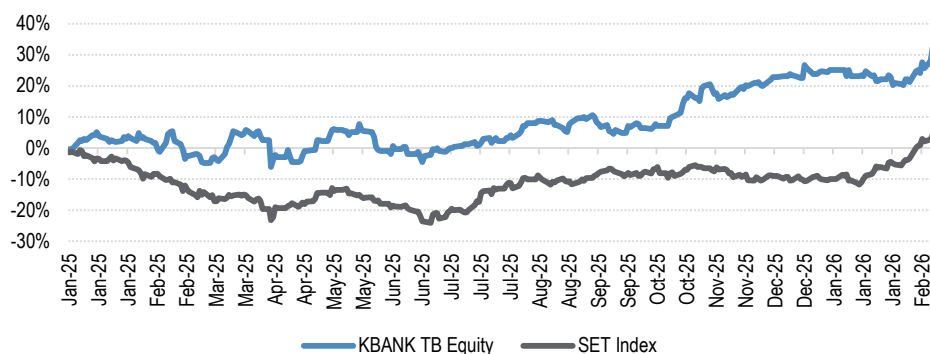
Source: Company reports and J.P. Morgan estimates.

Figure 4: BBL: DPS and payout (%) trends



Source: Company reports and J.P. Morgan estimates.

Figure 5: Thailand: KBANK vs SET index performance (since Jan-2025)



Source: Bloomberg Finance L.P.

Table 3: Thailand Financials: Valuation

Bank	Price (THB)	Rating	PT (THB)	PE (x)		PB (x)		Dividend Yield (%)		RoE (%)	
				2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
KBANK	205.00	N	210.00	10.7	9.6	0.83	0.80	6.6	6.8	8.0	8.6
SCB	148.50	N	150.00	11.2	10.0	1.00	0.98	7.6	8.5	9.0	9.9
BBL	170.00	OW	200.00	7.0	6.7	0.53	0.49	6.2	6.5	7.7	7.6
KTB	32.75	OW	31.00	7.8	8.4	0.90	0.86	6.4	7.2	11.9	10.5
TTB	2.26	N	2.00	10.8	10.7	0.84	0.80	7.5	7.5	8.1	7.7
TISCO	115.00	UW	100.00	13.5	12.5	2.09	2.04	6.7	7.0	15.6	16.5
SAWAD	30.50	OW	29.00	9.2	7.9	1.24	1.14	4.9	5.6	14.0	14.9
MTC	39.25	OW	47.00	10.0	8.9	1.64	1.40	1.0	1.3	17.7	17.0
TIDLOR	20.20	OW	23.00	9.7	8.5	1.51	1.34	3.6	4.7	16.5	16.7
Banks				9.7	9.2	0.90	0.86	6.8	7.3	9.4	9.4
Consumer Finance				9.7	8.5	1.49	1.31	2.8	3.4	16.3	16.3
Sector				9.7	9.2	0.95	0.90	6.5	7.0	10.0	10.0

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 19th Feb, 2026.

Overweight

DBSM.SI, DBS SP

Price (19 Feb 26): S\$57.62

Price Target (Dec-26): S\$70.00

APAC Banks

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

	2025A	2026E	2027E
Q1	1.02	1.01	
Q2	1.00	0.96	
Q3	1.04	1.00	
Q4	0.80	0.93	
FY	3.85	3.91	4.19

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	13	7	7	10	13
Growth	7	31	10	10	34
Momentum	22	55	10	25	13
Quality	1	10	1	19	10
Low Vol	46	49	13	31	13
ESGQ	91	87	87	24	23

DBS Group Holdings

Improving ROEs, with consistent capital return

DBS is positioned to return S\$21.4bn of capital (13% of market cap) via dividends (regular + special) and buyback over the next 22M. The stock's 3% decline post 4Q results (vs STI +1%) is an opportunity to accumulate. The 4Q earnings miss ([link](#)) was seasonal, and we expect recovery from 1Q26 as net new money remains robust (S\$12bn in 4Q), market trading has started strong and credit costs should normalize. We forecast 17% RoE by 2028, as NIM compression starts fading. CET1 could further benefit from potential ~30bps impact from a reversal of the MAS operational risk charge (1.5x from 1.8x multiplier). While buy-back has paused with the share price strength, a resumption is possible over the course of the year (we expect S\$750mn), with the remainder of the program paid out as special dividends (we pencil in 20c each in FY26/27E), over and above the 60c already announced. NIM should remain a drag as SORA continues to come off, along with lagged re-pricing on the fixed book (S\$80bn hedges rolling off this year). Fed hikes could be a risk given net USD floating liabilities of S\$40bn at the bank, but second-order effects should filter through to SORA over time, and hence a net positive for the bank.

Valuation

Table 4: DBS: Valuation

	Core Net (\$\$ mn)	Core EPS (\$\$)	P/E (x)	BVPS (\$\$)	P/B (x)	Dividend (\$\$)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	6,801	2.41	23.9	19.5	2.95	1.09	1.9%	1.01%	2.02%	12.6%
2022	8,193	2.89	19.9	19.2	2.99	1.82	3.2%	1.13%	2.35%	14.8%
2023	10,286	3.63	15.9	21.0	2.74	1.75	3.0%	1.38%	2.85%	17.9%
2024	11,408	4.01	14.4	23.4	2.46	2.22	3.9%	1.45%	3.14%	18.0%
2025	11,033	3.89	14.8	24.3	2.37	3.06	5.3%	1.27%	3.05%	16.2%
2026E	11,162	3.95	14.6	24.8	2.33	3.50	6.1%	1.20%	2.98%	16.1%
2027E	11,913	4.23	13.6	25.2	2.28	3.68	6.4%	1.21%	3.03%	16.9%
2028E	12,513	4.47	12.9	25.9	2.23	3.68	6.4%	1.21%	3.03%	17.4%

Price (\$\$)	57.62	Number of shares (mn)	2,837	Market Cap (\$\$ mn)	163,487
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Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	1.55%	Risk-free rate	3.85%	Fair PE	16.3x
Non-IR/revenues	39.7%	Cost of capital	8.9%	12m Rolling EPS	S\$3.99
Cost/income	40.3%	Long term growth	4.30%	PE based Fair Value	S\$64.8
Operating RoA	1.54%	Fair PB	2.69x	Implied Value of Growth	
LLP/Loans	-0.20%	PV of Terminal Value	S\$61.2	12m Rolling EPS	S\$3.99
Net RoAA	1.21%	PV of Dividends	S\$3.2	Capitalized Value (\$\$)	\$45.1
Equity/Assets	7.3%	PV of today's Fair Value	S\$64.4	Value of Growth (\$\$)	\$12.6
Normalised RoE	16.5%	PB based Dec-26 Fair Value	S\$70.1	Attributable to Growth	21.8%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 19th Feb, 2026.

Annual forecasts

Table 5: DBS: Annual P&L

S\$ in mn	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	10,833	13,798	15,592	12,208	10,185	15,927	27,862	30,927	28,268	27,094	27,997	28,646
Interest Expense	(3,042)	(4,843)	(5,967)	(3,132)	(1,745)	(4,986)	(14,220)	(16,503)	(13,768)	(12,650)	(12,728)	(12,650)
Net Interest Income	7,791	8,955	9,625	9,076	8,440	10,941	13,642	14,424	14,500	14,444	15,269	15,996
Non-Interest Income	4,133	4,137	4,919	5,516	5,857	5,768	6,752	8,123	8,662	9,425	10,014	10,646
Net Fee income	2,622	2,780	3,052	3,058	3,524	3,091	3,384	4,168	4,898	5,388	5,846	6,343
Trading income	1,058	1,178	1,459	1,405	1,791	2,313	1,369	1,541	1,368	1,546	1,577	1,608
Other operating income	453	179	408	1,053	542	364	1,999	2,414	2,396	2,492	2,592	2,695
Total Revenues	11,924	13,092	14,544	14,592	14,297	16,709	20,394	22,547	23,162	23,870	25,283	26,642
Costs	(5,130)	(5,798)	(6,258)	(6,158)	(6,469)	(7,090)	(8,056)	(8,895)	(9,249)	(9,668)	(10,152)	(10,756)
PPOP	6,794	7,294	8,286	8,434	7,828	9,619	12,338	13,652	13,913	14,202	15,131	15,886
Loan loss provisions	(1,879)	(708)	(704)	(3,063)	(51)	(234)	(591)	(623)	(791)	(939)	(982)	(1,028)
Other provisions	(15)	(2)	1	(3)	(1)	(3)	(8)	(22)	(23)	(12)	(6)	(3)
Other income	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	4,900	6,584	7,583	5,368	7,776	9,382	11,739	13,007	13,099	13,252	14,144	14,856
Tax	(727)	(974)	(1,116)	(612)	(973)	(1,188)	(1,452)	(1,598)	(2,065)	(2,089)	(2,230)	(2,342)
MI & EO	(133)	(76)	(38)	(35)	(2)	(1)	(1)	(1)	(1)	(1)	(1)	(1)
Core profit	4,040	5,534	6,429	4,721	6,801	8,193	10,286	11,408	11,033	11,162	11,913	12,513
Attributable profit	4,371	5,577	6,391	4,721	6,801	8,193	10,062	11,289	10,933	11,062	11,813	12,413

Source: Company reports and J.P. Morgan estimates.

Table 6: DBS: Annual DuPont

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	1.75%	1.85%	1.89%	1.62%	1.45%	1.75%	2.15%	2.13%	2.01%	1.89%	1.88%	1.87%
IEA/Assets	89.1%	90.5%	90.2%	91.0%	87.2%	87.4%	85.6%	86.3%	83.7%	82.5%	82.6%	82.8%
Margins (% of avg. Assets)	1.56%	1.68%	1.70%	1.48%	1.26%	1.53%	1.84%	1.84%	1.68%	1.56%	1.55%	1.55%
Non-IR contribution	34.7%	31.6%	33.8%	37.8%	41.0%	34.5%	33.1%	36.0%	37.4%	39.5%	39.6%	40.0%
Non-IR/Avg. Assets	0.83%	0.77%	0.87%	0.90%	0.88%	0.81%	0.91%	1.04%	1.00%	1.02%	1.02%	1.03%
Revenue/Assets	2.39%	2.45%	2.57%	2.37%	2.14%	2.34%	2.75%	2.88%	2.69%	2.57%	2.57%	2.58%
Cost/Income	43.0%	44.3%	43.0%	42.2%	45.2%	42.4%	39.5%	39.5%	39.9%	40.5%	40.2%	40.4%
C/Assets	1.03%	1.09%	1.11%	1.00%	0.97%	0.99%	1.09%	1.14%	1.07%	1.04%	1.03%	1.04%
Pre-Provision ROA	1.36%	1.37%	1.47%	1.37%	1.17%	1.35%	1.66%	1.74%	1.61%	1.53%	1.54%	1.54%
LLP/Loans	-0.59%	-0.21%	-0.20%	-0.83%	-0.01%	-0.06%	-0.14%	-0.15%	-0.18%	-0.20%	-0.20%	-0.20%
Loan/Assets	63.4%	63.4%	63.0%	60.2%	59.3%	58.4%	56.8%	54.8%	51.5%	49.6%	48.9%	48.7%
Other Income/Assets	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.52%	1.43%	1.44%	1.44%
Pre-Tax ROA	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.52%	1.43%	1.44%	1.44%
Tax Rate	-14.8%	-14.8%	-14.7%	-11.4%	-12.5%	-12.7%	-12.4%	-12.3%	-15.8%	-15.8%	-15.8%	-15.8%
Minorities & Outside Int.	-0.03%	-0.01%	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	0.86%	1.03%	1.12%	0.75%	1.01%	1.13%	1.35%	1.43%	1.26%	1.19%	1.20%	1.20%
RoRWA	1.52%	1.90%	2.13%	1.47%	2.02%	2.35%	2.79%	3.11%	3.02%	2.96%	3.01%	3.01%
Equity/Assets	8.85%	8.60%	8.43%	8.15%	7.96%	7.67%	7.70%	8.05%	7.84%	7.48%	7.17%	6.95%
ROE	9.7%	12.0%	13.3%	9.2%	12.6%	14.8%	17.5%	17.8%	16.0%	15.9%	16.8%	17.3%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 7: DBS: Quarterly P&L

S\$ in mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	7,726	7,741	7,713	7,747	7,457	7,084	6,913	6,814	6,716	6,729	6,762	6,887
Interest Expense	(4,221)	(4,147)	(4,116)	(4,019)	(3,776)	(3,436)	(3,335)	(3,221)	(3,172)	(3,149)	(3,137)	(3,192)
Net Interest Income	3,505	3,594	3,597	3,728	3,681	3,648	3,578	3,593	3,544	3,581	3,625	3,695
Non-Interest Income	2,103	1,951	2,222	1,847	2,301	2,149	2,421	1,791	2,431	2,282	2,468	2,245
Net Fee income	1,043	1,048	1,109	968	1,275	1,167	1,357	1,099	1,352	1,298	1,453	1,285
Trading income	388	362	530	261	401	395	419	153	459	358	376	353
Other operating income	672	541	583	618	625	587	645	539	620	626	639	607
Total Revenues	5,608	5,545	5,819	5,575	5,982	5,797	5,999	5,384	5,975	5,862	6,093	5,940
Costs	(2,079)	(2,172)	(2,249)	(2,395)	(2,214)	(2,270)	(2,393)	(2,372)	(2,320)	(2,381)	(2,459)	(2,507)
PPOP	3,529	3,373	3,570	3,180	3,768	3,527	3,606	3,012	3,654	3,481	3,634	3,433
Loan loss provisions	(135)	(128)	(130)	(230)	(325)	(130)	(124)	(212)	(228)	(230)	(232)	(248)
Other provisions	0	(32)	(6)	16	(6)	(9)	(6)	(2)	(3)	(3)	(3)	(3)
Other income	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	3,394	3,213	3,434	2,966	3,437	3,388	3,476	2,798	3,423	3,248	3,398	3,182
Tax	(432)	(416)	(414)	(336)	(531)	(573)	(531)	(430)	(548)	(520)	(544)	(478)
MI and EO	(6)	6	7	(8)	(9)	9	9	(10)	(13)	(12)	(13)	36
Core profit	2,956	2,803	3,027	2,622	2,897	2,824	2,954	2,358	2,863	2,716	2,842	2,741
Attributable profit	2,951	2,789	3,027	2,522	2,897	2,824	2,954	2,258	2,863	2,716	2,842	2,641

Source: Company reports and J.P. Morgan estimates.

Table 8: DBS: Quarterly Dupont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.14%	2.14%	2.11%	2.15%	2.12%	2.05%	1.96%	1.93%	1.91%	1.87%	1.87%	1.85%
IEA/Assets	86.7%	86.0%	85.9%	85.3%	84.4%	85.0%	84.0%	83.0%	83.1%	83.2%	83.2%	83.3%
Margins (% of avg. Ass)	1.85%	1.84%	1.81%	1.83%	1.79%	1.74%	1.65%	1.60%	1.59%	1.56%	1.55%	1.54%
Non-IR contribution	37.5%	35.2%	38.2%	33.1%	38.5%	37.1%	40.4%	33.3%	40.7%	38.9%	40.5%	37.8%
Non-IR/Avg. Assets	1.11%	0.99%	1.13%	0.91%	1.10%	1.02%	1.12%	0.81%	1.07%	0.99%	1.05%	0.94%
Revenue/Assets	2.95%	2.82%	2.95%	2.76%	2.87%	2.76%	2.78%	2.42%	2.64%	2.55%	2.60%	2.50%
Cost/Income	37.1%	39.2%	38.6%	43.0%	37.0%	39.2%	39.9%	44.1%	38.8%	40.6%	40.4%	42.2%
C/Assets	1.09%	1.10%	1.14%	1.19%	1.06%	1.08%	1.11%	1.07%	1.03%	1.03%	1.05%	1.05%
Pre-Provision ROA	1.9%	1.7%	1.8%	1.6%	1.8%	1.7%	1.7%	1.4%	1.6%	1.5%	1.6%	1.4%
LLP/Loans	-0.13%	-0.12%	-0.12%	-0.21%	-0.30%	-0.12%	-0.11%	-0.19%	-0.20%	-0.20%	-0.20%	-0.21%
Loan/Assets	56.0%	54.8%	54.1%	53.2%	52.7%	52.4%	51.2%	50.3%	50.1%	49.7%	49.4%	49.1%
Other Income/Assets	0.00%	-0.02%	0.00%	0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.78%	1.65%	1.74%	1.46%	1.65%	1.62%	1.62%	1.26%	1.51%	1.41%	1.45%	1.34%
Pre-Tax ROA	1.78%	1.63%	1.74%	1.47%	1.65%	1.61%	1.61%	1.26%	1.51%	1.41%	1.45%	1.34%
Tax Rate	-12.7%	-13.0%	-12.1%	-11.3%	-15.4%	-16.9%	-15.3%	-15.4%	-16.0%	-16.0%	-16.0%	-15.0%
Minorities & Outside Int	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	-0.01%	-0.01%	-0.01%	0.02%
ROA	1.55%	1.42%	1.53%	1.25%	1.39%	1.34%	1.37%	1.02%	1.26%	1.18%	1.21%	1.11%
RoRWA	3.16%	2.91%	3.34%	2.92%	3.29%	3.19%	3.27%	2.47%	3.11%	2.90%	2.98%	2.75%
Equity/Assets	7.95%	7.89%	8.09%	8.12%	8.04%	8.04%	7.82%	7.65%	7.64%	7.55%	7.45%	7.36%
ROE	19.5%	17.9%	18.9%	15.3%	17.3%	16.7%	17.5%	13.3%	16.6%	15.6%	16.3%	15.1%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	2.2%	-1.9%	7.3%	25.2%
Rel	-5.4%	-5.3%	-3.7%	-2.0%

Company Data

Shares O/S (mn)	2,840
52-week range (\$)	60.00-36.30
Market cap (\$ mn)	129,165
Exchange rate	1.27
Free float (%)	71.6%
3M ADV (mn)	4.23
3M ADV (\$ mn)	189.1
Volatility (90 Day)	14
Index	FTSTI
BBG ANR (Buy Hold Sell)	7 8 3

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E
Financial Estimates			
Net interest income	14,500	14,444	15,269
Non interest income	8,662	9,425	10,014
Operating expenses	(9,249)	(9,668)	(10,152)
Adj. PPOP	13,913	14,202	15,131
Provision for loan losses	(791)	(939)	(982)
Adj. PBT	12,999	13,152	14,044
Adj. net income	10,933	11,062	11,813
Adj. EPS	3.85	3.91	4.19
BBG EPS	3.96	3.97	4.24
DPS	3.06	3.51	3.69
Loans	445,011	463,145	484,770
Deposits	610,023	656,480	691,375
Total Assets	897,488	957,899	1,007,412
Margins and Growth			
NIM	2.0%	1.9%	1.9%
Ratios			
Loan/ Deposit ratio	72.9%	70.5%	70.1%
NPL / Loans	1.0%	1.0%	1.1%
Coverage	130.8%	126.6%	117.3%
CET 1	-	-	-
Non-int. income/ Income	37.4%	39.5%	39.6%
Cost/Income	39.9%	40.5%	40.2%
LLP/Loans	(0.2%)	(0.2%)	(0.2%)
ROA	1.3%	1.2%	1.2%
ROE	16.2%	15.9%	16.8%
Valuation			
Dividend yield	5.3%	6.1%	6.4%
Adj. P/E	15.0	14.7	13.7
P/ BV	2.37	2.33	2.28

Summary Investment Thesis and Valuation

Investment Thesis

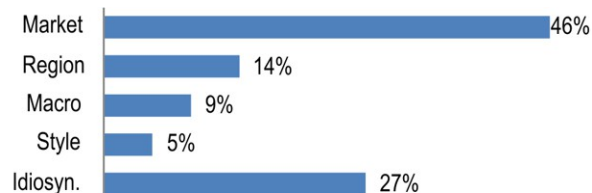
We are OW on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, special dividends and buyback) allows investors to pay a multiple for the income stream.
- The bank has restructured to lower its loan intensity (48% loans to assets in 2028E vs. 63% in 2017), with the WM business contributing an increasingly larger share. We expect S\$40bn NNM in 2026E, driving 10% fee income growth.
- DBS has delivered one of the best RoE expansions in the last decade as technology and process led changes across the franchise have resulted in better growth, efficiency and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.

Valuation

Our Dec-26 PT of S\$70 is based on a fair P/B of 2.7x, assuming a normalized RoE of 16.5%, a risk-free rate of 3.85%, a cost of capital of 8.9% and a growth rate of 4.3%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.55	0.70
Region: Singapore	0.38	0.52
Macro:		
HSI Volatility Index	0.00	-0.31
Emerging Economies CPI(YoY)	-0.16	0.24
Emerging Central Bank Rate	-0.15	-0.20
Quant Styles:		
LowVol	0.24	0.19
Value	0.07	0.18
Size	-0.29	-0.13

DBS Group Holdings (Overweight; Price Target: S\$70.00)

Investment Thesis

We are OW on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, special dividends and buyback) allows investors to pay a multiple for the income stream.
- The bank has restructured to lower its loan intensity (48% loans to assets in 2028E vs. 63% in 2017), with the WM business contributing an increasingly larger share. We expect S\$40bn NNM in 2026E, driving 10% fee income growth.
- DBS has delivered one of the best RoE expansions in the last decade as technology and process-led changes across the franchise have resulted in better growth, efficiency and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.
- WM continues to underpin non-II, while asset quality appears intact. The bank has reduced its rate sensitivity, which is helping to improve capital generation visibility.
- We expect 2026 EPS to mark a low for the next 5Y. Hence, the regular DPS of S\$3.06 and part of the special can stay intact. We estimate the bank can potentially pay over \$3.50 DPS (2026E) for years to come.
- Any indication of a pick-up in NPL formation would be a catalyst for de-rating. A key risk area could be trade-related exposure.

Valuation

Our Dec-26 PT of S\$70 is based on a fair P/B of 2.7x, assuming a normalized RoE of 16.5%, a risk-free rate of 3.85%, a cost of capital of 8.9% and a growth rate of 4.3%.

Risks to Rating and Price Target

Upside catalysts include: (1) further increases in DPS; (2) resilient GDP growth, leading to better-than-expected growth and asset quality; (3) sustained improvements in underwriting and monitoring, leading to lower-than-expected credit costs; (4) better-than-expected efficiency gains due to digital investments; and (5) better-than-expected WM performance on sustained inflows into SG.

Downside risks include: (1) dividend disappointment; (2) asset quality deterioration, potentially from trade-related exposure or CRE; and (3) faster and/or larger Fed rate cuts or decline in SORA, which would drive a larger than expected NIM compression. Any acquisition would come with two-sided risks.

DBS Group Holdings: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	30,927	28,268	27,094	27,997	-	Cash and cash equivalents	0	0	0	0	-
Interest expense	(16,503)	(13,768)	(12,650)	(12,728)	-	Deposits with banks	139,061	149,725	154,401	158,512	-
Net interest income	14,424	14,500	14,444	15,269	-	Net loans	430,594	445,011	463,145	484,770	-
Non interest income	8,123	8,662	9,425	10,014	-	PP&E	3,873	3,486	3,591	3,698	-
o/w Fee income	4,168	4,898	5,388	5,846	-	Net intangibles	6,372	6,314	6,314	6,314	-
o/w Trading income	1,541	1,368	1,546	1,577	-	LT investments	189,665	239,231	275,116	297,125	-
Net revenues	22,547	23,162	23,870	25,283	-	Other assets	57,654	53,721	55,333	56,993	-
Non interest expense	(8,895)	(9,249)	(9,668)	(10,152)	-	Total assets	827,219	897,488	957,899	1,007,412	-
o/w Employee costs	0	0	0	0	-	Interest earning assets	765,410	840,021	898,809	946,653	-
Pre-Prov. Profits	13,652	13,913	14,202	15,131	-	Deposits	561,730	610,023	656,480	691,375	-
Provisions	(623)	(791)	(939)	(982)	-	Borrowings	133,343	158,846	168,104	177,903	-
Adj. PBT	12,888	12,999	13,152	14,044	-	Other liabilities	65,705	59,703	63,285	67,082	-
Income taxes	(1,598)	(2,065)	(2,089)	(2,230)	-	Total liabilities	760,778	828,572	887,869	936,360	-
Minority interest	(1)	(1)	(1)	(1)	-	Shareholder equity	66,394	68,867	69,981	71,003	-
Adj. Net profit	11,289	10,933	11,062	11,813	-	Minority interests	47	49	49	49	-
PPOP per share	4.80	4.90	5.03	5.38	-	Total liabilities and Shareholder equity	827,219	897,488	957,899	1,007,412	-
Reported EPS	3.97	3.85	3.91	4.19	-	Interest bearing liabilities	638,689	686,090	748,923	796,115	-
Adj. EPS	3.97	3.85	3.91	4.19	-						
DPS	2.22	3.06	3.51	3.69	-	Book Value Per Share	23.38	24.27	24.77	25.25	-
Diluted shares outstanding	2,843	2,838	2,832	2,819	-	Tangible Book Value Per Share	23.38	24.27	24.77	25.25	-
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	76.7%	72.9%	70.5%	70.1%	-	Loan loss reserves/Loans	(1.4%)	(1.3%)	(1.3%)	(1.3%)	-
Investment/Assets	22.0%	24.9%	27.7%	29.1%	29.5%	NPLs/Loans	1.1%	1.0%	1.0%	1.1%	-
Loan/Assets	54.8%	51.5%	49.6%	48.9%	-	Loan loss reserves/NPLs	127.5%	129.1%	128.7%	121.8%	117.3%
Customer deposits/Liabilities	73.8%	73.6%	73.9%	73.8%	-	NPL y/y growth	1.8%	(3.2%)	4.9%	9.7%	-
LT debt/Liabilities	15.9%	18.4%	19.0%	19.0%	19.0%	Tier 1 ratio	17.7%	17.0%	16.5%	15.9%	-
						CAR	18.6%	17.9%	17.3%	16.7%	-
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	2.1%	2.0%	1.9%	1.9%	-	Return on equity (ROE)	17.9%	16.2%	15.9%	16.8%	-
Non interest income/Net revenue	36.0%	37.4%	39.5%	39.6%	-	Return on assets (ROA)	1.4%	1.3%	1.2%	1.2%	-
Non interest income/Avg. Assets	1.0%	1.0%	1.0%	1.0%	-	Operating ROA	1.7%	1.5%	1.4%	1.4%	-
Efficiency ratio	39.5%	39.9%	40.5%	40.2%	-	Pre-Tax ROA	1.6%	1.5%	1.4%	1.4%	-
Leverage ratio	8.0%	7.2%	6.8%	6.5%	-	Pre-Provision ROA	1.7%	1.6%	1.5%	1.5%	-
Revenue/Assets	2.9%	2.7%	2.6%	2.6%	-	Tax rate	12.4%	15.9%	15.9%	15.9%	-
RORWA	3.1%	3.0%	3.0%	3.0%	-						
RWA	352,002	365,381	383,160	402,965	-	Net loans y/y growth	3.5%	3.3%	4.1%	4.7%	-
Avg. RWA	360,183	358,692	374,270	393,062	201,482	Assets y/y growth	11.9%	8.5%	6.7%	5.2%	-
Avg. IEA	676,148	721,393	765,085	812,003	-	RWA y/y growth	(4.4%)	3.8%	4.9%	5.2%	-
Gross Loans	436,684	451,065	469,293	491,016	-	Deposits y/y growth	5.0%	8.6%	7.6%	5.3%	-
Avg. IBL	638,689	686,090	748,923	796,115	-	Net interest income y/y growth	5.7%	0.5%	(0.4%)	5.7%	-
LLR	(6,090)	(6,054)	(6,148)	(6,246)	-	Revenues y/y growth	10.6%	2.7%	3.1%	5.9%	-
NPLs	4,780	4,629	4,855	5,324	-	Adj. EPS y/y growth	11.9%	(3.0%)	1.4%	7.3%	-
P/BV (x)	2.46	2.37	2.33	2.28	-	BVPS y/y growth	11.1%	3.8%	2.1%	1.9%	-
Adj. P/E (x)	14.5	15.0	14.7	13.7	-	IE assets/Assets	86.3%	83.7%	82.5%	82.6%	-
Dividend yield	3.9%	5.3%	6.1%	6.4%	-	Margins (as % of Avg. Assets)	1.7%	1.5%	1.4%	1.4%	-
Dividend payout	55.9%	79.4%	89.8%	88.0%	-	LLP/Loans	(0.1%)	(0.2%)	(0.2%)	(0.2%)	-
						Equity/Assets	8.0%	7.8%	7.5%	7.2%	-
						Cost/Assets	1.1%	1.1%	1.0%	1.0%	-
						Assets/Equity	12.4	12.8	13.4	13.9	14.2

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

Neutral

KBANK.BK, KBANK TB

Price (19 Feb 26):Bt205.00

▲ **Price Target (Dec-26):Bt210.00**

Prior (Dec-26):Bt190.00

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Bt)	20.17	19.46	-3.5%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Bt)	2025A	2026E	2027E
Q1	5.82	4.98	
Q2	5.27	5.05	
Q3	5.49	4.90	
Q4	4.34	4.56	
FY	20.92	19.46	21.60

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	11	9	7	3	5
Growth	51	51	40	27	77
Momentum	27	22	11	59	11
Quality	44	42	35	25	64
Low Vol	11	3	5	51	68
ESGQ	1	18	17	-	14

Kasikornbank PCL

Negative revisions limit upside, watching shareholder moves

The stock has gained 5% YTD (vs. SET 17%), following the election results and sustained increase of GULF ownership (9.95% including treasury shares in base). With the GULF stake nearing 10%, any increase would require BoT approval. Details of the AGM agenda will provide a clue on possible next steps, in case GULF asks for a board seat. On operating results, we expect negative revisions. We forecast 27bps NIM compression in FY26, given the lagged impact of 100bps rate cut in FY25 and likely normalization of treasury gains from FY25 highs. Accordingly, we see ROA/ROE coming off to 0.99-1.10% and 8.0-8.9% from FY26-28E, which appears fair with the stock trading at 0.84x 2026E PB.

Valuation

Table 9: KBANK: Valuation

	Core Net (Bt mn)	Core EPS (Bt)	P/E (x)	BVPS (Bt)	P/B (x)	Dividend (Bt)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2022	35,770	14.8	13.9	206	1.00	4.0	1.9%	0.86%	1.33%	7.5%
2023	42,405	17.6	11.7	218	0.94	6.5	3.2%	0.99%	1.54%	8.4%
2024	57,920	24.1	8.5	233	0.88	12.0	5.8%	1.34%	2.08%	10.8%
2025	49,565	20.6	10.0	239	0.86	13.5	6.6%	1.11%	1.84%	8.9%
2026E	45,635	19.2	10.8	246	0.84	13.5	6.6%	0.99%	1.74%	8.0%
2027E	49,598	21.3	9.7	255	0.81	14.0	6.8%	1.07%	1.83%	8.6%
2028E	52,064	22.8	9.0	265	0.78	15.0	7.3%	1.10%	1.86%	8.9%
Price (Bt)	206.00		Number of shares (mn)		2,369		Market Cap (THB mn)		488,081	

Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	2.82%	Risk-free rate	3.5%	Fair PE	8.8x
Non-IR/revenues	30.8%	Cost of capital	10.7%	12m Rolling EPS	Bt 19.4
Cost/income	44.4%	Long term growth	2.5%	PE based Dec-26E Fair Value	Bt 171
Operating RoA	2.26%	Fair PB	0.79x	Implied Value of Growth	
LLP/Loans	-1.30%	PV of Terminal Value	Bt 175.1	12m Rolling EPS	Bt 19.4
Net RoAA	1.11%	PV of Dividends	Bt 12.4	Capitalized Value	Bt 181.8
Equity/Assets	12.4%	PV of today's Fair Value	Bt 187.5	Value of Growth	Bt 24.2
Normalised RoE	9.0%	PB based Dec-26E Fair Value	Bt 208	Attributable to Growth	11.8%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 19th Feb, 2026.

Annual forecasts

Table 10: KBANK: Annual P&L

Bt in mn	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	119,337	123,922	130,178	127,592	135,414	151,332	183,608	188,069	173,625	163,479	164,696	167,271
Interest Expense	(25,176)	(25,384)	(27,490)	(18,570)	(16,024)	(18,334)	(35,164)	(40,064)	(36,473)	(33,897)	(33,932)	(33,993)
Net Interest Income	94,161	98,538	102,688	109,022	119,390	132,998	148,444	148,005	137,152	129,582	130,764	133,279
Non-Interest Income	62,695	56,945	57,803	45,869	43,958	40,259	44,210	50,240	57,648	56,794	58,490	59,825
Net Fee income	41,306	38,117	36,740	33,004	35,316	32,882	31,181	33,434	35,389	37,866	39,002	40,172
Trading income	11,900	11,655	16,774	9,428	6,356	4,923	11,536	13,247	16,339	13,600	14,000	14,000
Other operating income	9,490	7,172	4,289	3,437	2,286	2,454	1,493	3,560	5,920	5,328	5,488	5,653
Total Revenues	156,856	155,483	160,491	154,891	163,349	173,258	192,654	198,245	194,800	186,376	189,254	193,104
Costs	(65,695)	(67,609)	(71,584)	(68,871)	(69,822)	(73,672)	(83,687)	(77,845)	(84,443)	(84,161)	(84,155)	(84,363)
PPOP	91,161	87,874	88,908	86,020	93,527	99,585	108,967	120,400	110,357	102,215	105,099	108,740
Loan loss provisions	(41,810)	(32,532)	(34,012)	(43,548)	(40,332)	(51,919)	(51,840)	(47,251)	(40,312)	(37,331)	(35,266)	(35,828)
Other provisions	(677)	(739)	(1,146)	(1,125)	(1,222)	(1,081)	(1,282)	(406)	(406)	(406)	(406)	(406)
Pre-Tax	48,674	54,603	53,750	41,347	51,973	46,585	55,845	72,743	69,640	64,478	69,427	72,507
Tax	(9,028)	(10,395)	(10,309)	(7,656)	(9,729)	(8,633)	(10,778)	(12,402)	(13,871)	(12,843)	(13,829)	(14,442)
Profit before MI	39,646	44,209	43,441	33,691	42,244	37,953	45,067	60,341	55,768	51,635	55,598	58,064
MI & EO	(5,308)	(5,749)	(4,714)	(4,203)	(4,192)	(2,183)	(2,662)	(2,421)	(6,204)	(6,000)	(6,000)	(6,000)
Attributable profit	34,338	38,460	38,727	29,487	38,053	35,770	42,405	57,920	49,565	45,635	49,598	52,064
Reported profit	34,338	38,460	38,727	29,487	38,053	35,770	42,405	57,920	49,565	45,635	49,598	52,064

Source: Company reports and J.P. Morgan estimates.

Table 11: KBANK: Annual DuPont

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	3.45%	3.40%	3.31%	3.27%	3.21%	3.33%	3.66%	3.60%	3.23%	2.96%	2.94%	2.95%
IEA/Assets	95.0%	95.8%	96.2%	96.0%	96.0%	95.7%	95.2%	95.4%	95.4%	95.5%	95.5%	95.5%
Margins (% of avg. Assets)	3.28%	3.25%	3.18%	3.14%	3.08%	3.19%	3.48%	3.43%	3.08%	2.82%	2.81%	2.82%
Non-IR contribution	40.0%	36.6%	36.0%	29.6%	26.9%	23.2%	22.9%	25.3%	29.6%	30.5%	30.9%	31.0%
Non-IR/Avg. Assets	2.18%	1.88%	1.79%	1.32%	1.13%	0.96%	1.04%	1.17%	1.30%	1.24%	1.26%	1.27%
Revenue/Assets	5.46%	5.13%	4.98%	4.46%	4.21%	4.15%	4.52%	4.60%	4.38%	4.06%	4.07%	4.09%
Cost/Income	41.9%	43.5%	44.6%	44.5%	42.7%	42.5%	43.4%	39.3%	43.3%	45.2%	44.5%	43.7%
C/Assets	2.29%	2.23%	2.22%	1.98%	1.80%	1.76%	1.96%	1.81%	1.90%	1.83%	1.81%	1.79%
Pre-Provision ROA	3.17%	2.90%	2.76%	2.47%	2.41%	2.39%	2.55%	2.79%	2.48%	2.23%	2.26%	2.30%
LLP/Loans	-2.39%	-1.75%	-1.74%	-2.05%	-1.73%	-2.11%	-2.08%	-1.90%	-1.63%	-1.50%	-1.40%	-1.40%
Loan/Assets	60.9%	61.4%	60.7%	61.1%	60.1%	58.9%	58.4%	57.7%	55.7%	54.2%	54.2%	54.2%
Pre-Tax ROA	1.69%	1.80%	1.67%	1.19%	1.34%	1.12%	1.31%	1.69%	1.57%	1.41%	1.49%	1.53%
Tax Rate	-18.5%	-19.0%	-19.2%	-18.5%	-18.7%	-18.5%	-19.3%	-17.0%	-19.9%	-19.9%	-19.9%	-19.9%
ROA	1.20%	1.27%	1.20%	0.85%	0.98%	0.86%	0.99%	1.34%	1.11%	0.99%	1.07%	1.10%
RoRWA	1.82%	1.91%	1.80%	1.28%	1.51%	1.33%	1.54%	2.08%	1.84%	1.74%	1.83%	1.86%
Equity/Assets	11.7%	12.0%	12.1%	11.9%	11.4%	11.4%	11.8%	12.4%	12.6%	12.4%	12.4%	12.4%
ROE	10.2%	10.6%	9.9%	7.1%	8.6%	7.5%	8.4%	10.8%	8.9%	8.0%	8.6%	8.9%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 12: KBANK: Quarterly P&L

Bt in mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	48,641	47,766	46,874	44,787	44,962	43,938	43,059	41,665	41,558	40,649	40,590	40,682
Interest Expense	(10,113)	(10,298)	(9,838)	(9,815)	(9,537)	(9,283)	(8,901)	(8,752)	(8,794)	(8,412)	(8,360)	(8,331)
Net Interest Income	38,528	37,468	37,036	34,972	35,425	34,655	34,158	32,913	32,764	32,237	32,230	32,351
Non-Interest Income	11,624	12,961	11,644	14,011	13,677	13,944	15,087	14,939	14,368	14,461	14,055	13,909
Net Fee income	8,299	8,078	8,432	8,625	8,433	8,216	9,328	9,412	9,318	9,411	9,505	9,631
Trading income	3,155	3,164	3,727	3,201	4,361	3,893	4,675	3,411	3,650	3,650	3,150	3,150
Other operating income	170	1,720	(516)	2,186	884	1,836	1,084	2,116	1,400	1,400	1,400	1,128
Total Revenues	50,152	50,429	48,680	48,984	49,103	48,599	49,245	47,852	47,132	46,698	46,286	46,261
Costs	(20,682)	(21,773)	(21,361)	(14,029)	(20,019)	(20,684)	(20,833)	(22,907)	(20,587)	(20,638)	(20,703)	(22,234)
PPOP	29,470	28,656	27,319	34,955	29,084	27,915	28,413	24,945	26,545	26,060	25,583	24,027
Loan loss provisions	(11,684)	(11,672)	(11,652)	(12,242)	(9,818)	(10,050)	(10,179)	(10,265)	(9,915)	(9,310)	(9,324)	(8,782)
Other provisions	(31)	(115)	(140)	(120)	(33)	(119)	(132)	(121)	(100)	(100)	(100)	(106)
Pre-Tax	17,755	16,869	15,527	22,592	19,233	17,746	18,101	14,560	16,530	16,650	16,159	15,139
Tax	(3,403)	(3,224)	(3,203)	(2,572)	(3,977)	(3,482)	(3,603)	(2,809)	(3,289)	(3,313)	(3,216)	(3,025)
Profit before MI	14,352	13,644	12,324	20,020	15,256	14,263	14,498	11,751	13,240	13,337	12,943	12,114
MI and EO	(867)	(991)	(358)	(205)	(1,465)	(1,776)	(1,491)	(1,473)	(1,500)	(1,500)	(1,500)	(1,500)
Attributable profit	13,486	12,653	11,966	19,815	13,791	12,488	13,007	10,278	11,740	11,837	11,443	10,614
Reported profit	13,486	12,653	11,966	19,815	13,791	12,488	13,007	10,278	11,740	11,837	11,443	10,614

Source: Company reports and J.P. Morgan estimates.

Table 13: KBANK: Quarterly Dupont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	3.76%	3.67%	3.61%	3.38%	3.39%	3.31%	3.24%	3.06%	3.01%	2.95%	2.94%	2.94%
IEA/Assets	95.3%	95.4%	95.3%	95.1%	96.1%	96.0%	95.7%	95.6%	95.5%	95.5%	95.4%	95.4%
Margins (% of avg. Ass)	3.58%	3.50%	3.44%	3.21%	3.26%	3.18%	3.10%	2.93%	2.88%	2.82%	2.81%	2.81%
Non-IR contribution	23.2%	25.7%	23.9%	28.6%	27.9%	28.7%	30.6%	31.2%	30.5%	31.0%	30.4%	30.1%
Non-IR/Avg. Assets	1.08%	1.21%	1.08%	1.29%	1.26%	1.28%	1.37%	1.33%	1.26%	1.27%	1.22%	1.21%
Revenue/Assets	4.66%	4.71%	4.52%	4.50%	4.52%	4.45%	4.47%	4.26%	4.14%	4.09%	4.03%	4.01%
Cost/Income	41.2%	43.2%	43.9%	28.6%	40.8%	42.6%	42.3%	47.9%	43.7%	44.2%	44.7%	48.1%
C/Assets	1.92%	2.03%	1.98%	1.29%	1.84%	1.90%	1.89%	2.04%	1.81%	1.81%	1.80%	1.93%
Pre-Provision ROA	2.74%	2.68%	2.54%	3.21%	2.68%	2.56%	2.58%	2.22%	2.33%	2.28%	2.23%	2.09%
LLP/Loans	-1.89%	-1.89%	-1.89%	-1.99%	-1.60%	-1.65%	-1.68%	-1.68%	-1.60%	-1.50%	-1.50%	-1.41%
Loan/Assets	57.6%	57.8%	57.1%	56.5%	56.5%	55.8%	55.0%	54.4%	54.4%	54.3%	54.2%	54.1%
Pre-Tax ROA	1.65%	1.58%	1.44%	2.08%	1.77%	1.63%	1.64%	1.29%	1.45%	1.46%	1.41%	1.31%
Tax rate	19.2%	19.1%	20.6%	11.4%	20.7%	19.6%	19.9%	19.3%	19.9%	19.9%	19.9%	20.0%
ROA	1.25%	1.18%	1.11%	1.82%	1.27%	1.14%	1.18%	0.91%	1.03%	1.04%	1.00%	0.92%
RoRWA	1.94%	1.81%	1.72%	2.85%	1.97%	1.80%	1.87%	1.53%	1.82%	1.83%	1.76%	1.61%
Equity/Assets	12.2%	12.4%	12.4%	12.5%	13.0%	13.0%	12.8%	12.6%	12.3%	12.2%	12.3%	12.3%
ROE	10.3%	9.5%	9.0%	14.6%	9.8%	8.8%	9.2%	7.2%	8.4%	8.5%	8.1%	7.5%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	5.4%	7.0%	10.8%	25.4%
Rel	-11.0%	-7.2%	-4.5%	9.2%

Company Data

Shares O/S (mn)	2,351
52-week range (Bt)	208.00-142.79
Market cap (\$ mn)	15,401
Exchange rate	31.29
Free float (%)	83.7%
3M ADV (mn)	12.62
3M ADV (\$ mn)	77.6
Volatility (90 Day)	19
Index	SET
BBG ANR (Buy Hold Sell)	12 12 2

Key Metrics (FYE Dec)

Bt in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	137,152	129,582	130,764	133,279
Non interest income	57,648	56,794	58,490	59,825
Operating expenses	(84,443)	(84,161)	(84,155)	(84,363)
Adj. PPOP	110,357	102,215	105,099	108,740
Provision for loan losses	(40,312)	(37,331)	(35,266)	(35,828)
Adj. PBT	69,640	64,478	69,427	72,507
Adj. net income	49,565	45,635	49,598	52,064
Adj. EPS	20.92	19.46	21.60	23.15
BBG EPS	20.97	19.67	20.52	21.42
DPS	13.50	13.50	14.00	15.00
Loans	2,333,650	2,357,642	2,396,222	2,437,369
Deposits	2,850,387	2,886,892	2,929,560	2,977,268
Total Assets	4,539,498	4,598,310	4,669,485	4,747,934
Margins and Growth				
NIM	3.2%	3.0%	2.9%	3.0%
Ratios				
Loan/ Deposit ratio	81.9%	81.7%	81.8%	81.9%
NPL / Loans	3.7%	3.9%	3.8%	3.8%
Coverage	155.5%	147.8%	145.4%	148.4%
CET 1	18.4%	19.0%	19.1%	19.1%
Non-int. income/ Income	29.6%	30.5%	30.9%	31.0%
Cost/Income	43.3%	45.2%	44.5%	43.7%
LLP/Loans	(1.6%)	(1.5%)	(1.4%)	(1.4%)
ROA	1.1%	1.0%	1.1%	1.1%
ROE	8.9%	8.0%	8.6%	8.9%
Valuation				
Dividend yield	6.6%	6.6%	6.8%	7.3%
Adj. P/E	9.8	10.5	9.5	8.9
P/ BV	0.9	0.8	0.8	0.8

Summary Investment Thesis and Valuation

Investment Thesis

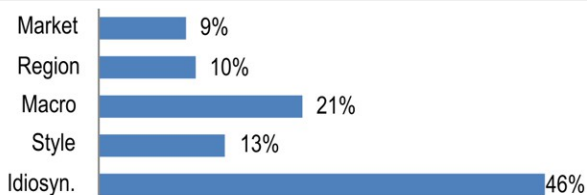
We are Neutral on KBank.

- The stock has been one of the best performers in the last 12M on the back of improved payout ratios, as well as a degree of optimism from the increase in GULF stake. These factors appear to be fairly reflected in current valuations. The key risk from here is negative revisions due to NIM compression as well as lower treasury income. We forecast a 6% decrease in NII in 2026.
- The bank has postponed the 'double digit' RoE target to a later date, as the RoA erosion from weaker revenues is unlikely to be offset by higher leverage. Basically, capital management (payouts and buybacks) would not be enough to get the bank to 10% RoE in 2026/27.
- RWA growth at the bank is limited, which has led to consistent capital accumulation. Accordingly, the bank announced a share buyback scheme of up to Bt8,800mn. These buybacks are accretive for BVPS, given sub-book valuations. Yet, even after these positives, we expect negative revisions to dominate for now.

Valuation

Our Dec-26 PT of Bt210 is based on a two-stage DDM valuation with a risk-free rate of 3.5%, cost of capital of 10.7%, and terminal growth rate of 2.5%. We use a fair P/BV multiple of 0.79x with a normalized ROE of 9.0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.21	0.42
Region: Thailand	0.48	0.39
Macro:		
Generic 1st 'CO' Future	-0.44	-0.36
JP Morgan EMBI Global Spread	-0.19	-0.20
US 10 Year Yield	0.12	0.17
Quant Styles:		
Quality	0.09	0.25
Growth	0.09	0.18
LowVol	0.11	0.10

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Kasikornbank PCL (Neutral; Price Target: Bt210.00)

Investment Thesis

We are Neutral on KBank.

- The stock has been one of the best performers in the last 12M on the back of improved payout ratios, as well as a degree of optimism from increase in GULF stake. These factors appear to be fairly reflected in current valuations. The key risk from here is negative revisions due to NIM compression as well as lower treasury income. We forecast a 6% decrease in NII in 2026.
- The bank has postponed the 'double-digit' RoE target to a later date, as the RoA erosion from weaker revenues is unlikely to be offset by higher leverage. Basically, capital management (payouts and buybacks) would not be enough to get the bank to 10% RoE in 2026/27.
- RWA growth at the bank is limited, which has led to consistent capital accumulation. Accordingly, the bank announced a share buyback scheme of up to Bt8,800mn. These buybacks are accretive for BVPS, given sub-book valuations. Yet, even after these positives, we expect negative revisions to dominate for now.
- With nominal GDP growth for the country running at ~2%, it is quite difficult to build a scenario where the retained capital can be used to deliver significant balance sheet growth. Hence, consistent capital management is likely. Yet, the guidance suggests a steady pick-up, rather than a sharp increase in payout via large special dividends and even more ambitious buyback.
- The recently announced restructuring scheme offers visibility on asset quality holding up for 12-24 months. We forecast credit costs of 150/140/140 bps in 2026/27/28, vs 160bps in 2025. SME loans comprise 13% of assets, down from 30% 15 years ago. Further, the bank has unwound low RoRWA businesses in the past two years (high-yield consumer finance), which lends credence to the outlook for improving asset quality.
- The CASA franchise for KBank (82%) is due to its strong branch network and best-in-class mobile application (KPLUS). However, the limited ability to lower CASA rates further poses NIM risks in an interest rate cut environment.
- KBank's measured approach to digital changes gives us confidence in its ability to execute the digital strategy. The bank is well positioned in terms of its tech stack, product offerings, as well as building investments in the Web 3.0 space. However, these shifts will take time to show up in the bottom line.

Valuation

Our Dec-26 price target of Bt210 is based on a two-stage DDM valuation with a risk-free rate of 3.5%, cost of capital of 10.7%, and terminal growth rate of 2.5%. We use a fair P/BV multiple of 0.79x with a normalized ROE of 9.0%.

Risks to Rating and Price Target

Key upside risks include: 1) Further increases in buyback could pose upside risks to the stock. 2) Sharp improvement in NPL formation, along with an improvement in disclosures around NPL formation and clean-up. 3) Lower-than-expected rate transmission on loans, with ability to cut deposit rates further.

Key downside risks include: 1) Consistent asset quality deterioration, leading to higher-than-expected credit costs. 2) High NIM/EPS impact from rate cuts and debt restructuring. 3) Lower-than-expected dividend payout. 4) Corporate defaults, or a sharp downturn in the broader cohort (SME, unsecured consumer) is a risk. Yet, KBank has been quite diligent in cleaning up the book (especially unsecured PL), and NPL formation has slowed. Hence, we rate this risk as quite low. 5) Macro-prudential tightening and increasing consumer protection risk from the regulator may weigh on loan growth and non-interest income.

Kasikornbank PCL: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	188,069	173,625	163,479	164,696	167,271	Deposits with banks	568,750	613,910	579,618	540,498	502,750
Interest expense	(40,064)	(36,473)	(33,897)	(33,932)	(33,993)	Net loans	2,351,989	2,333,650	2,357,642	2,396,222	2,437,369
Net interest income	148,005	137,152	129,582	130,764	133,279	PP&E	114,151	117,412	119,168	120,360	121,563
Non interest income	50,240	57,648	56,794	58,490	59,825	Net intangibles	39,385	38,719	39,061	39,267	39,327
o/w Fee income	33,434	35,389	37,866	39,002	40,172	LT investments	1,134,779	1,316,408	1,382,228	1,451,339	1,523,906
o/w Trading income	13,247	16,339	13,600	14,000	14,000	Other assets	115,240	119,400	120,594	121,800	123,018
Net revenues	198,245	194,800	186,376	189,254	193,104	Total assets	4,324,294	4,539,498	4,598,310	4,669,485	4,747,934
Non interest expense	(77,845)	(84,443)	(84,161)	(84,155)	(84,363)	Interest earning assets	4,187,224	4,406,965	4,462,664	4,528,990	4,607,802
o/w Employee costs	(41,642)	(43,122)	(42,691)	(42,477)	(42,477)	Deposits	2,718,675	2,850,387	2,886,892	2,929,560	2,977,268
Pre-Prov. Profits	120,400	110,357	102,215	105,099	108,740	Borrowings	239,478	271,960	281,549	291,495	301,813
Provisions	(47,251)	(40,312)	(37,331)	(35,266)	(35,828)	Other liabilities	752,688	778,053	785,678	793,379	801,157
Adj. PBT	72,743	69,640	64,478	69,427	72,507	Total liabilities	3,710,841	3,900,393	3,954,118	4,014,435	4,080,239
Income taxes	(12,402)	(13,871)	(12,843)	(13,829)	(14,442)	Shareholder equity	553,176	565,597	569,924	579,197	590,438
Minority interest	(2,421)	(6,204)	(6,000)	(6,000)	(6,000)	Minority interests	76,937	92,622	92,622	92,622	92,622
Adj. Net profit	57,920	49,565	45,635	49,598	52,064	Total liabilities and Shareholder equity	4,340,954	4,558,618	4,616,664	4,686,254	4,763,299
PPOP per share	50.82	46.58	43.59	45.76	48.34	Interest bearing liabilities	2,958,153	3,122,346	3,168,441	3,221,055	3,279,081
Reported EPS	24.45	20.92	19.46	21.60	23.15	Book Value Per Share	233.47	238.72	245.62	254.81	265.27
Adj. EPS	24.45	20.92	19.46	21.60	23.15	Tangible Book Value Per Share	233.47	238.72	245.62	254.81	265.27
DPS	12.00	13.50	13.50	14.00	15.00	Asset Quality/Capital					
Diluted shares outstanding	2,369	2,369	2,345	2,297	2,249	Loan loss reserves/Loans	(5.3%)	(5.8%)	(5.7%)	(5.6%)	(5.6%)
Balance Sheet Gearing						NPLs/Loans	3.7%	3.7%	3.9%	3.8%	3.8%
Loans/Deposits	86.5%	81.9%	81.7%	81.8%	81.9%	Loan loss reserves/NPLs	144.8%	149.9%	151.5%	146.6%	146.9%
Investment/Assets	25.1%	27.7%	29.5%	30.6%	31.6%	NPL y/y growth	(0.8%)	0.7%	5.4%	0.0%	0.0%
Loan/Assets	57.9%	56.0%	54.5%	54.4%	54.3%	Tier 1 ratio	18.4%	18.4%	19.0%	19.1%	19.1%
Customer deposits/Liabilities	73.3%	73.1%	73.0%	73.0%	73.0%	CAR	20.4%	20.4%	20.9%	20.9%	20.9%
LT debt/Liabilities	6.7%	6.7%	7.0%	7.2%	7.3%	Ratio Analysis (%)					
Ratio Analysis (%)						Return on equity (ROE)	10.8%	8.9%	8.0%	8.6%	8.9%
Net interest margin	3.6%	3.2%	3.0%	2.9%	3.0%	Return on assets (ROA)	1.3%	1.1%	1.0%	1.1%	1.1%
Non interest income/Net revenue	25.3%	29.6%	30.5%	30.9%	31.0%	Operating ROA	1.7%	1.6%	1.4%	1.5%	1.5%
Non interest income/Avg. Assets	1.2%	1.3%	1.2%	1.3%	1.3%	Pre-Tax ROA	1.7%	1.6%	1.4%	1.5%	1.5%
Efficiency ratio	39.3%	43.3%	45.2%	44.5%	43.7%	Pre-Provision ROA	2.8%	2.5%	2.2%	2.3%	2.3%
Leverage ratio	12.0%	10.7%	11.1%	11.3%	11.5%	Tax rate	17.0%	19.9%	19.9%	19.9%	19.9%
Revenue/Assets	4.6%	4.4%	4.1%	4.1%	4.1%	Net loans y/y growth	(0.2%)	(0.8%)	1.0%	1.6%	1.7%
RORWA	2.1%	1.8%	1.7%	1.8%	1.9%	Assets y/y growth	1.3%	5.0%	1.3%	1.5%	1.7%
RWA	2,807,565	2,581,784	2,660,825	2,747,796	2,840,605	RWA y/y growth	1.3%	(8.0%)	3.1%	3.3%	3.4%
Avg. RWA	2,789,347	2,694,675	2,621,305	2,704,311	2,794,200	Deposits y/y growth	0.7%	4.8%	1.3%	1.5%	1.6%
Avg. IEA	4,111,744	4,247,060	4,380,766	4,441,779	4,514,348	Net interest income y/y growth	(0.3%)	(7.3%)	(5.5%)	0.9%	1.9%
Gross Loans	2,483,695	2,476,647	2,500,820	2,537,153	2,581,146	Revenues y/y growth	2.9%	(1.7%)	(4.3%)	1.5%	2.0%
Avg. IBL	2,959,247	3,040,250	3,145,393	3,194,748	3,250,068	Adj. EPS y/y growth	36.6%	(14.4%)	(7.0%)	11.0%	7.2%
LLR	(131,706)	(142,997)	(143,178)	(140,932)	(143,777)	BVPS y/y growth	7.1%	2.2%	2.9%	3.7%	4.1%
NPLs	91,309	91,950	96,903	96,903	96,903	IE assets/Assets	95.7%	95.8%	95.9%	95.9%	95.9%
P/BV (x)	0.9	0.9	0.8	0.8	0.8	Margins (as % of Avg. Assets)	3.4%	3.1%	2.8%	2.8%	2.8%
Adj. P/E (x)	8.4	9.8	10.5	9.5	8.9	LLP/Loans	(1.9%)	(1.6%)	(1.5%)	(1.4%)	(1.4%)
Dividend yield	5.9%	6.6%	6.6%	6.8%	7.3%	Equity/Assets	12.5%	12.6%	12.4%	12.4%	12.4%
Dividend payout	49.1%	64.5%	69.4%	64.8%	64.8%	Cost/Assets	1.8%	1.9%	1.8%	1.8%	1.8%
						Assets/Equity	8.0	7.9	8.0	8.1	8.1

Source: Company reports and J.P. Morgan estimates.

Note: Bt in millions (except per-share data). Fiscal year ends Dec

▲ Overweight

Previous: Neutral

BBL.BK, BBL.TB

Price (19 Feb 26): Bt168.00

▲ **Price Target (Dec-26): Bt200.00**

Prior (Dec-26): Bt165.00

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (Bt)	24.76	25.55	3.2%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Bt)	2025A	2026E	2027E
Q1	6.61	6.36	
Q2	6.20	6.08	
Q3	7.22	6.41	
Q4	4.07	5.32	
FY	24.10	24.17	25.55

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	3	1	5	7	1
Growth	57	61	57	55	79
Momentum	51	40	20	20	40
Quality	46	40	40	64	77
Low Vol	9	7	7	20	27

Bangkok Bank

Potential pick-up in growth and dividend; upgrade to OW

We are upgrading BBL to OW from Neutral, with our forecasts 8-12% above Bloomberg consensus for 2026-28. The bank's loan growth guidance of 2-4% appears reasonable, given almost a quarter of loans are international and almost half are corporate-led. We admit that capital management guidance from the bank is not necessarily definitive, but the direction of travel appears promising. We forecast DPS increases (to Bt9/10.50/11/11.50 in FY25-28E), as capital remains ample (17.2% CET1). We expect payout to range between 37-44% in 2025-28, with a mix of regular and special. Further, LLR/loans stands at 12% at the bank, which provides a strong buffer against PPoP weakness. We forecast 90/80bps of credit costs in 2026/27, which underpins our above Street forecasts.

Valuation

Table 14: BBL: Valuation

	Core Net (Bt mn)	Core EPS (Bt)	P/E (x)	BVPS (Bt)	P/B (x)	Dividend (Bt)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2022	29,305	15.4	11.1	251	0.68	4.5	2.6%	0.67%	1.00%	6.2%
2023	41,635	21.8	7.8	264	0.64	7.0	4.1%	0.93%	1.38%	8.5%
2024	45,212	23.7	7.2	277	0.61	8.5	5.0%	1.00%	1.49%	8.8%
2025	46,007	24.1	7.1	301	0.57	9.0	5.3%	1.00%	1.52%	8.3%
2026E	46,136	24.2	7.0	323	0.53	10.5	6.2%	0.99%	1.51%	7.7%
2027E	48,776	25.6	6.7	349	0.49	11.0	6.5%	1.01%	1.54%	7.6%
2028E	51,300	26.9	6.3	373	0.46	11.5	6.8%	1.03%	1.56%	7.4%

Price (Bt)	170	Number of shares (mn)	1,909	Market Cap (THB mn)	324,503
Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	2.46%	Risk-free rate	4.0%	Fair PE	7.3x
Non-IR/revenues	28.0%	Cost of capital	11.2%	12m Rolling EPS	Bt 24.4
Cost/income	49.1%	Long term growth	3.5%	PE based current Fair Value	Bt 177
Operating RoA	1.74%	Fair PB	0.58x	Implied Value of Growth	
LLP/Loans	-0.82%	PV of Terminal Value	Bt 170.6	12m Rolling EPS	Bt 24.4
Net RoAA	1.02%	PV of Dividends	Bt 9.6	Capitalized Value	Bt 217.0
Equity/Assets	12.7%	PV of today's Fair Value	Bt 180	Value of Growth	-Bt 47.0
Normalised RoE	8.0%	PB based Dec-26 Fair Value	Bt 200	Attributable to Growth	-27.7%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 19th Feb, 2026.

Annual forecasts

Table 15: BBL: Annual P&L

Bt in mn	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	110,781	112,565	112,524	114,312	139,088	194,365	208,029	191,082	174,959	178,774	183,081
Interest Expense	(39,405)	(41,494)	(35,477)	(32,156)	(36,865)	(63,505)	(74,129)	(67,452)	(58,993)	(60,764)	(62,098)
Net Interest Income	71,376	71,071	77,047	82,156	102,223	130,860	133,900	123,630	115,965	118,010	120,983
Non-Interest Income	50,025	62,675	41,682	52,385	36,672	36,627	41,911	54,869	46,386	45,226	46,092
Net Fee income	27,590	28,505	24,711	29,209	27,508	27,234	27,724	27,192	28,008	28,848	29,713
Trading income	16,309	27,612	13,570	19,093	3,701	5,062	9,856	23,384	14,000	12,000	12,000
Other operating income	6,126	6,558	3,401	4,082	5,462	4,331	4,331	4,293	4,378	4,378	4,378
Total Revenues	121,401	133,746	118,729	134,541	138,895	167,487	175,811	178,499	162,352	163,237	167,075
Costs	(51,524)	(54,054)	(64,849)	(66,654)	(68,520)	(77,813)	(78,988)	(83,063)	(80,157)	(80,438)	(81,125)
PPOP	69,876	79,692	53,879	67,887	70,374	89,675	96,824	95,436	82,195	82,798	85,950
Loan loss provisions	(21,965)	(32,351)	(31,196)	(34,134)	(32,647)	(33,667)	(34,838)	(36,148)	(23,742)	(21,587)	(22,124)
Pre-Tax	46,853	46,431	21,559	33,141	37,229	52,046	56,568	55,988	57,452	60,711	63,827
Tax	(8,554)	(10,219)	(4,014)	(6,189)	(7,484)	(9,993)	(10,946)	(9,622)	(10,916)	(11,535)	(12,127)
Profit before minorities	38,299	36,212	17,545	26,952	29,745	42,052	45,622	46,366	46,536	49,176	51,700
MI & EO	(387)	(397)	(364)	(445)	(440)	(417)	(411)	(359)	(400)	(400)	(400)
Attributable profit	37,912	35,816	17,181	26,507	29,305	41,635	45,212	46,007	46,136	48,776	51,300
Reported profit	35,330	35,816	17,181	26,507	29,305	41,635	45,212	46,007	46,136	48,776	51,300

Source: Company reports and J.P. Morgan estimates.

Table 16: BBL: Annual DuPont

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	2.40%	2.35%	2.24%	2.10%	2.42%	3.02%	3.06%	2.75%	2.52%	2.48%	2.46%
IEA/Assets	96.0%	95.3%	97.5%	95.9%	96.7%	97.0%	96.5%	98.3%	98.5%	98.8%	99.0%
Margins (% of avg. Assets)	2.31%	2.24%	2.19%	2.01%	2.34%	2.93%	2.95%	2.70%	2.48%	2.45%	2.44%
Non-IR contribution	41.2%	46.9%	35.1%	38.9%	26.4%	21.9%	23.8%	30.7%	28.6%	27.7%	27.6%
Non-IR/Avg. Assets	1.62%	1.98%	1.18%	1.28%	0.84%	0.82%	0.92%	1.20%	0.99%	0.94%	0.93%
Revenue/Assets	3.92%	4.22%	3.37%	3.30%	3.17%	3.75%	3.88%	3.90%	3.47%	3.39%	3.37%
Cost/Income	42.4%	40.4%	54.6%	49.5%	49.3%	46.5%	44.9%	46.5%	49.4%	49.3%	48.6%
C/Assets	1.66%	1.71%	1.84%	1.63%	1.57%	1.74%	1.74%	1.81%	1.72%	1.67%	1.64%
Pre-Provision ROA	2.26%	2.52%	1.53%	1.66%	1.61%	2.01%	2.14%	2.08%	1.76%	1.72%	1.73%
LLP/Loans	-1.07%	-1.56%	-1.41%	-1.38%	-1.24%	-1.26%	-1.30%	-1.36%	-0.90%	-0.80%	-0.80%
Loan/Assets	66.0%	65.4%	62.9%	60.8%	60.2%	59.9%	59.2%	57.9%	56.5%	56.1%	55.7%
Pre-Tax ROA	1.51%	1.47%	0.61%	0.81%	0.85%	1.16%	1.25%	1.22%	1.23%	1.26%	1.29%
Tax Rate	-18.3%	-22.0%	-18.6%	-18.7%	-20.1%	-19.2%	-19.3%	-17.2%	-19.0%	-19.0%	-19.0%
ROA	1.22%	1.13%	0.49%	0.65%	0.67%	0.93%	1.00%	1.00%	0.99%	1.01%	1.03%
RoRWA	1.63%	1.50%	0.67%	0.95%	1.00%	1.38%	1.49%	1.52%	1.51%	1.54%	1.56%
Equity/Assets	13.2%	13.3%	12.1%	11.0%	10.8%	11.0%	11.4%	12.0%	12.7%	13.3%	13.9%
ROE	9.3%	8.5%	4.0%	5.9%	6.2%	8.5%	8.8%	8.3%	7.7%	7.6%	7.4%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 17: BBL: Quarterly P&L

Bt in mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	51,672	51,645	52,312	52,400	49,471	49,142	47,318	45,151	44,512	43,466	43,302	43,679
Interest Expense	(18,250)	(18,511)	(18,945)	(18,423)	(17,562)	(17,436)	(16,568)	(15,886)	(15,315)	(14,566)	(14,622)	(14,491)
Net Interest Income	33,422	33,134	33,367	33,977	31,909	31,706	30,750	29,265	29,198	28,900	28,680	29,188
Non-Interest Income	8,260	10,404	12,460	10,787	13,745	12,716	16,913	11,495	11,796	11,389	11,263	11,939
Net Fee income	6,927	6,850	6,935	7,012	7,592	6,078	6,549	6,973	7,321	6,955	6,747	6,984
Trading income	100	2,274	4,364	3,119	4,854	5,565	9,223	3,742	3,500	3,400	3,400	3,700
Other operating income	1,234	1,280	1,161	656	1,299	1,073	1,141	780	975	1,033	1,116	1,255
Total Revenues	41,682	43,538	45,826	44,764	45,654	44,422	47,663	40,760	40,994	40,288	39,942	41,127
Costs	(17,574)	(19,106)	(20,277)	(22,030)	(20,497)	(17,988)	(20,520)	(24,058)	(19,095)	(19,008)	(19,171)	(22,884)
PPOP	24,109	24,431	25,549	22,734	25,158	26,434	27,143	16,702	21,899	21,281	20,771	18,244
Loan loss provisions	(8,582)	(10,425)	(8,197)	(7,634)	(9,067)	(10,740)	(9,742)	(6,598)	(6,537)	(6,572)	(5,289)	(5,343)
Other provisions	(2,045)	(102)	(1,562)	(1,710)	(255)	(2,106)	(178)	(761)	(250)	(250)	(250)	(250)
Pre-Tax	13,482	13,904	15,790	13,390	15,835	13,588	17,223	9,342	15,112	14,458	15,232	12,650
Tax	(2,849)	(1,993)	(3,208)	(2,896)	(3,132)	(1,672)	(3,331)	(1,487)	(2,871)	(2,747)	(2,894)	(2,404)
Profit before MI	10,633	11,912	12,583	10,494	12,703	11,915	13,892	7,855	12,241	11,711	12,338	10,247
MI and EO	(109)	(105)	(106)	(90)	(85)	(75)	(103)	(96)	(100)	(100)	(100)	(100)
Attributable profit	10,524	11,807	12,476	10,404	12,618	11,840	13,789	7,760	12,141	11,611	12,238	10,147
Reported profit	10,524	11,807	12,476	10,404	12,618	11,840	13,789	7,760	12,141	11,611	12,238	10,147

Source: Company reports and J.P. Morgan estimates.

Table 18: BBL: Quarterly Dupont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	3.06%	3.03%	3.05%	3.09%	2.89%	2.81%	2.72%	2.59%	2.56%	2.51%	2.48%	2.48%
IEA/Assets	96.3%	96.2%	97.1%	97.5%	96.2%	97.6%	99.0%	98.8%	99.2%	99.8%	100.3%	100.4%
Margins (% of avg. Assets)	2.95%	2.92%	2.96%	3.01%	2.78%	2.75%	2.69%	2.56%	2.54%	2.51%	2.48%	2.49%
Non-IR contribution	19.8%	23.9%	27.2%	24.1%	30.1%	28.6%	35.5%	28.2%	28.8%	28.3%	28.2%	29.0%
Non-IR/Avg. Assets	0.73%	0.92%	1.11%	0.96%	1.20%	1.10%	1.48%	1.01%	1.02%	0.99%	0.98%	1.02%
Revenue/Assets	3.68%	3.83%	4.07%	3.97%	3.98%	3.85%	4.17%	3.57%	3.56%	3.50%	3.46%	3.51%
Cost/Income	42.2%	43.9%	44.2%	49.2%	44.9%	40.5%	43.1%	59.0%	46.6%	47.2%	48.0%	55.6%
C/Assets	1.55%	1.68%	1.80%	1.95%	1.79%	1.56%	1.79%	2.10%	1.66%	1.65%	1.66%	1.96%
Pre-Provision ROA	2.13%	2.15%	2.27%	2.01%	2.19%	2.29%	2.37%	1.46%	1.90%	1.85%	1.80%	1.56%
LLP/Loans	-1.27%	-1.53%	-1.22%	-1.15%	-1.34%	-1.58%	-1.47%	-1.01%	-1.00%	-1.00%	-0.80%	-0.80%
Loan/Assets	59.6%	60.0%	59.5%	59.1%	59.0%	58.8%	58.1%	57.0%	56.8%	57.1%	57.3%	56.8%
Pre-Tax ROA	1.19%	1.22%	1.40%	1.19%	1.38%	1.18%	1.51%	0.82%	1.31%	1.26%	1.32%	1.08%
Tax Rate	-21.1%	-14.3%	-20.3%	-21.6%	-19.8%	-12.3%	-19.3%	-15.9%	-19.0%	-19.0%	-19.0%	-19.0%
ROA	0.93%	1.04%	1.11%	0.92%	1.10%	1.03%	1.21%	0.68%	1.05%	1.01%	1.06%	0.87%
RoRWA	1.38%	1.53%	1.64%	1.38%	1.64%	1.53%	1.82%	1.04%	1.62%	1.55%	1.63%	1.33%
Equity/Assets	11.4%	11.5%	11.5%	11.6%	11.6%	11.7%	12.1%	12.1%	11.6%	11.2%	10.8%	11.8%
ROE	8.1%	9.0%	9.6%	7.9%	9.5%	8.7%	10.0%	5.6%	9.1%	9.0%	9.8%	7.3%

Source: Company reports and J.P. Morgan estimates.

Price Performance



Company Data

Shares O/S (mn)	1,909
52-week range (Bt)	174.50-131.00
Market cap (\$ mn)	10,248
Exchange rate	31.29
Free float (%)	88.2%
3M ADV (mn)	10.04
3M ADV (\$ mn)	52.2
Volatility (90 Day)	20
Index	SET
BBG ANR (Buy Hold Sell)	9 11 7

Key Metrics (FYE Dec)

Bt in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	123,630	115,965	118,010	120,983
Non interest income	54,869	46,386	45,226	46,092
Operating expenses	(83,063)	(80,157)	(80,438)	(81,125)
Adj. PPOP	95,436	82,195	82,798	85,950
Provision for loan losses	(36,148)	(23,742)	(21,587)	(22,124)
Adj. PBT	55,988	57,452	60,711	63,827
Adj. net income	46,007	46,136	48,776	51,300
Adj. EPS	24.10	24.17	25.55	26.87
BBG EPS	25.07	22.30	23.20	24.03
DPS	9.00	10.50	11.00	11.50
Loans	2,301,516	2,342,459	2,387,398	2,443,743
Deposits	3,196,284	3,259,812	3,336,870	3,416,180
Total Assets	4,594,690	4,737,786	4,886,535	5,035,021
Margins and Growth				
NIM	0.0%	0.0%	0.0%	0.0%
Ratios				
Loan/ Deposit ratio	72.0%	71.9%	71.5%	71.5%
NPL / Loans	3.6%	3.6%	3.7%	3.7%
Coverage	324.1%	334.4%	341.8%	348.9%
CET 1	17.2%	17.6%	17.8%	18.1%
Non-int. income/ Income	30.7%	28.6%	27.7%	27.6%
Cost/Income	46.5%	49.4%	49.3%	48.6%
LLP/Loans	(1.4%)	(0.9%)	(0.8%)	(0.8%)
ROA	1.0%	1.0%	1.0%	1.0%
ROE	8.3%	7.7%	7.6%	7.4%
Valuation				
Dividend yield	5.4%	6.3%	6.5%	6.8%
Adj. P/E	7.0	7.0	6.6	6.3
P/ BV	0.6	0.5	0.5	0.5

Summary Investment Thesis and Valuation

Investment Thesis

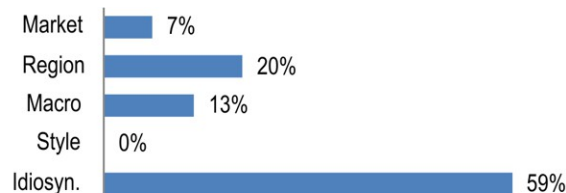
We are OW on BBL.

We expect better a payout, as capital is adequate at 18.8/17.2% bank/group CET1, and RWA growth is low. This should be an important catalyst for the stock, with valuations at 7.0x/0.53x '26 JPMc PE/PB. A recovery in Thailand's investment cycle, if it materialises, will be key for BBL's loan and earnings growth. We forecast DPS of Bt 9.0/10.5/11.0/11.5 based on a payout of 37-43% over 2025-28 (36% payout in 2024 with DPS of Bt8.50). At current levels, this equals 5.3-6.8% dividend yield, which leaves room for upside surprise.

Valuation

Our Dec-26 PT of Bt200 is based on a two-stage DDM with a risk-free rate of 4.0%, cost of capital of 11.2% and terminal growth of 3.5%. We use a fair P/BV multiple of 0.58x with a normalized RoE of 8.0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.12	0.28
Region: Thailand	0.38	0.47
Macro:		
Emerging Economies CPI(YoY)	-0.01	0.35
US 10 Year Yield	0.07	0.28
Generic 1st 'CO' Future	-0.30	-0.24
Quant Styles:		
Size	0.19	0.12
Quality	0.00	0.10
Momentum	-0.01	0.08

Investment Thesis, Valuation and Risks

Bangkok Bank (*Overweight; Price Target: Bt200.00*)

Investment Thesis

We are OW on BBL.

- We expect better a payout, as capital is adequate at 18.8/17.2% bank/group CET1, and RWA growth is low. This should be an important catalyst for the stock, with valuations at 7.0x/0.53x '26 JPMc PE/PB.
- A recovery in Thailand's investment cycle, if it materialises, will be key for BBL's loan and earnings growth.
- We forecast DPS of Bt 9.0/10.5/11.0/11.5 based on a payout of 37-43% over 2025-28 (36% payout in 2024 with DPS of Bt8.50). At current levels, this equals 5.3-6.8% dividend yield, which leaves room for upside surprise.
- The bank has one of the largest LLR buffers in the region (~12% LLR/Loans). This, along with a low retail portfolio (12% of mix), offers comfort on the bank's asset quality, and provides an earnings buffer.

Valuation

Our Dec-26 PT of Bt200 is based on a two-stage DDM with a risk-free rate of 4.0%, cost of capital of 11.2% and terminal growth of 3.5%. We use a fair P/BV multiple of 0.58x with a normalized RoE of 8.0%.

Risks to Rating and Price Target

Key upside risks to our rating and price target include: A meaningful increase in capital management, either in the form of higher payouts, buybacks or a special dividend. Lower-than-expected increase in opex, despite NIM being higher than guidance.

Key downside risks: Higher-than-expected provisions or opex could lead to slower profit growth. Slower-than-expected recovery in the capex cycle and trade poses key risks to credit growth forecasts.

Bangkok Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	208,029	191,082	174,959	178,774	183,081	Deposits with banks	799,633	818,754	864,699	936,109	994,975
Interest expense	(74,129)	(67,452)	(58,993)	(60,764)	(62,098)	Net loans	2,420,563	301,516	2,342,459	2,387,398	2,443,743
Net interest income	133,900	123,630	115,965	118,010	120,983	PP&E	66,015	77,066	79,815	81,937	84,128
Non interest income	41,911	54,869	46,386	45,226	46,092	Net intangibles	38,477	37,050	36,585	36,020	35,496
o/w Fee income	-	-	-	-	-	LT investments	1,096,563	1,214,101	1,262,665	1,287,918	1,313,677
o/w Trading income	-	-	-	-	-	Other assets	122,370	139,065	144,628	150,413	156,429
Net revenues	175,811	178,499	162,352	163,237	167,075	Total assets	4,551,379	4,594,690	4,737,786	4,886,535	5,035,021
Non interest expense	(78,988)	(83,063)	(80,157)	(80,438)	(81,125)	Interest earning assets	4,589,497	4,641,141	4,795,118	4,952,973	5,110,607
o/w Employee costs	(36,162)	(37,053)	(37,053)	(37,053)	(37,239)	Deposits	3,169,654	3,196,284	3,259,812	3,336,870	3,416,180
Pre-Prov. Profits	96,824	95,436	82,195	82,798	85,950	Borrowings	560,721	558,653	572,266	583,711	595,386
Provisions	(34,838)	(36,148)	(23,742)	(21,587)	(22,124)	Other liabilities	290,465	275,722	286,751	298,221	310,149
Adj. PBT	56,568	55,988	57,452	60,711	63,827	Total liabilities	4,020,840	4,030,659	4,118,829	4,218,802	4,321,715
Income taxes	(10,946)	(9,622)	(10,916)	(11,535)	(12,127)	Shareholder equity	528,705	573,923	617,196	665,972	711,545
Minority interest	(411)	(359)	(400)	(400)	(400)	Minority interests	1,834	1,761	1,761	1,761	1,761
Adj. Net profit	45,212	46,007	46,136	48,776	51,300	Total liabilities and Shareholder equity	4,551,379	4,606,342	4,737,786	4,886,535	5,035,021
PPOP per share	50.72	50.00	43.06	43.38	45.03	Interest bearing liabilities	3,730,375	3,754,937	3,832,078	3,920,581	4,011,565
Reported EPS	23.69	24.10	24.17	25.55	26.87	Book Value Per Share	276.98	300.67	323.34	348.89	372.76
Adj. EPS	23.69	24.10	24.17	25.55	26.87	Tangible Book Value Per Share	276.98	300.67	323.34	348.89	372.76
DPS	8.50	9.00	10.50	11.00	11.50	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Diluted shares outstanding	1,909	1,909	1,909	1,909	1,909	Loan loss reserves/Loans	(10.1%)	(11.8%)	(12.2%)	(12.5%)	(12.8%)
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	NPLs/Loans	3.3%	3.6%	3.6%	3.7%	3.7%
Loans/Deposits	76.4%	72.0%	71.9%	71.5%	71.5%	Loan loss reserves/NPLs	297.2%	315.0%	329.3%	338.1%	345.4%
Investment/Assets	23.8%	25.3%	26.5%	26.5%	26.2%	NPL y/y growth	(0.2%)	6.0%	2.8%	2.7%	2.7%
Loan/Assets	59.2%	58.0%	56.5%	56.1%	55.7%	Tier 1 ratio	17.0%	17.2%	17.6%	17.8%	18.1%
Customer deposits/Liabilities	78.8%	79.3%	79.1%	79.1%	79.0%	CAR	3.4%	4.6%	4.4%	4.2%	4.1%
LT debt/Liabilities	13.8%	13.9%	13.9%	13.9%	13.8%	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Return on equity (ROE)	8.8%	8.3%	7.7%	7.6%	7.4%
Net interest margin	0.0%	0.0%	0.0%	0.0%	0.0%	Return on assets (ROA)	1.0%	1.0%	1.0%	1.0%	1.0%
Non interest income/Net revenue	23.8%	30.7%	28.6%	27.7%	27.6%	Operating ROA	1.4%	1.3%	1.3%	1.3%	1.3%
Non interest income/Avg. Assets	0.9%	1.2%	1.0%	0.9%	0.9%	Pre-Tax ROA	1.2%	1.2%	1.2%	1.3%	1.3%
Efficiency ratio	44.9%	46.5%	49.4%	49.3%	48.6%	Pre-Provision ROA	2.1%	2.1%	1.8%	1.7%	1.7%
Leverage ratio	11.4%	11.3%	11.7%	12.0%	12.2%	Tax rate	19.3%	17.2%	19.0%	19.0%	19.0%
Revenue/Assets	3.9%	3.9%	3.5%	3.4%	3.4%	Net loans y/y growth	(0.2%)	(4.9%)	1.8%	1.9%	2.4%
RORWA	1.5%	1.5%	1.5%	1.5%	1.6%	Assets y/y growth	0.8%	1.0%	3.1%	3.1%	3.0%
RWA	3,039,735	3,001,483	3,110,820	3,232,921	3,356,334	RWA y/y growth	0.3%	(1.3%)	3.6%	3.9%	3.8%
Avg. RWA	3,034,914	3,020,609	3,056,151	3,171,870	3,294,627	Deposits y/y growth	(0.5%)	0.8%	2.0%	2.4%	2.4%
Avg. IEA	4,372,401	4,499,339	4,600,511	4,754,088	4,909,466	Net interest income y/y growth	2.3%	(7.7%)	(6.2%)	1.8%	2.5%
Gross Loans	2,693,301	2,608,286	2,667,755	2,728,945	2,801,956	Revenues y/y growth	5.0%	1.5%	(9.0%)	0.5%	2.4%
Avg. IBL	3,730,691	3,742,656	3,793,508	3,876,330	3,966,073	Adj. EPS y/y growth	8.6%	1.8%	0.3%	5.7%	5.2%
LLR	(272,738)	(306,770)	(325,296)	(341,547)	(358,213)	BVPS y/y growth	5.0%	8.6%	7.5%	7.9%	6.8%
NPLs	89,300	94,664	97,272	99,940	102,669	IE assets/Assets	96.5%	98.4%	98.6%	98.8%	99.0%
P/BV (x)	0.6	0.6	0.5	0.5	0.5	Margins (as % of Avg. Assets)	2.8%	2.6%	2.4%	2.4%	2.4%
Adj. P/E (x)	7.1	7.0	7.0	6.6	6.3	LLP/Loans	(1.3%)	(1.4%)	(0.9%)	(0.8%)	(0.8%)
Dividend yield	5.1%	5.4%	6.3%	6.5%	6.8%	Equity/Assets	11.4%	12.1%	12.8%	13.3%	13.9%
Dividend payout	35.9%	37.3%	43.4%	43.0%	42.8%	Cost/Assets	1.7%	1.8%	1.7%	1.7%	1.6%
						Assets/Equity	8.8	8.3	7.8	7.5	7.2

Source: Company reports and J.P. Morgan estimates.

Note: Bt in millions (except per-share data). Fiscal year ends Dec

Companies Discussed in This Report (all prices in this report as of market close on 19 February 2026, unless otherwise indicated)
Singapore Exchange(SGXL.SI/S\$18.12/OW)

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DBS Group Holdings (DBSM.SI, DBS SP) Price Chart



Date	Rating	Price (\$\$)	Price Target (\$\$)
09-Mar-23	N	30.64	31
30-Mar-23	UW	30.54	27
05-Oct-23	UW	30.20	28
09-Dec-23	UW	28.73	27.5
13-Mar-24	N	30.46	30
03-Jul-24	OW	37.10	41
06-Oct-24	OW	38.04	42
10-Nov-24	OW	42.40	50
11-Feb-25	OW	45.38	51
23-Mar-25	OW	45.31	49
21-May-25	N	44.38	47
13-Jul-25	N	45.99	48
08-Aug-25	N	49.75	50.5
10-Sep-25	OW	50.88	56
28-Nov-25	OW	54.00	70

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Dec 11, 2001. All share prices are as of market close on the previous business day.

Kasikornbank PCL (KBANK.BK, KBANK TB) Price Chart



Date	Rating	Price (Bt)	Price Target (Bt)
09-May-23	OW	129.50	170
01-Mar-24	UW	123.00	105
18-Sep-24	UW	158.00	130
13-Dec-24	N	156.50	150
23-Mar-25	N	164.00	170
03-Apr-25	OW	164.00	180
01-Sep-25	OW	168.50	190
13-Jan-26	N	191.50	190

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jan 23, 2000. All share prices are as of market close on the previous business day.

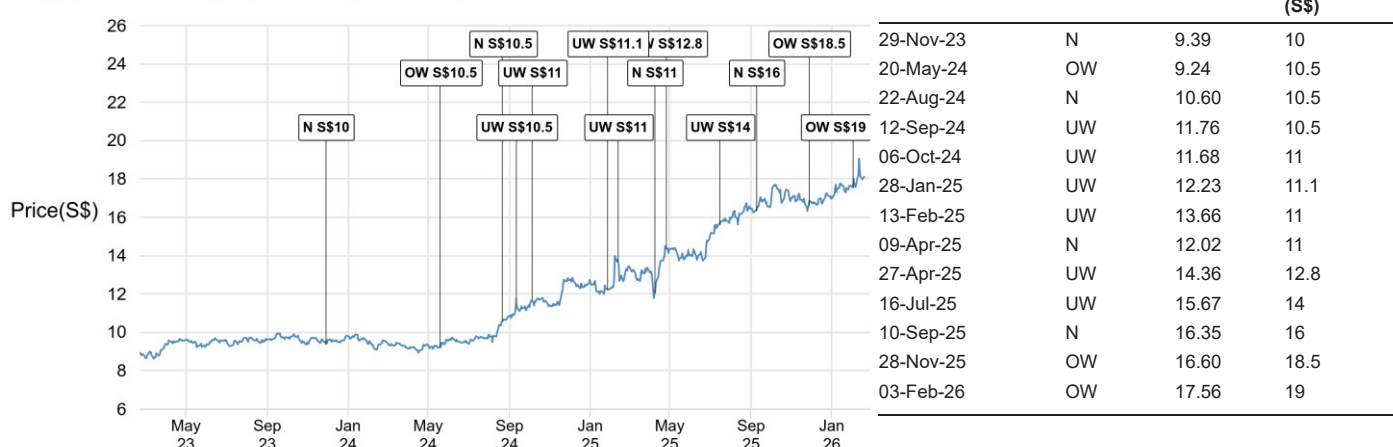
Bangkok Bank (BBL.BK, BBL TB) Price Chart



Date	Rating	Price (Bt)	Price Target (Bt)
11-Apr-23	OW	154.00	190
09-May-23	OW	162.00	180
02-Aug-23	OW	171.50	185
02-Nov-23	OW	157.50	195
15-Mar-24	N	140.00	150
03-Jul-24	OW	131.50	150
26-Jul-24	OW	133.00	145
18-Sep-24	N	158.50	160
24-Jun-25	N	137.00	155
08-Jan-26	N	170.00	165

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jan 23, 2000. All share prices are as of market close on the previous business day.

Singapore Exchange (SGXL.SI, SGX SP) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 17, 2002. All share prices are as of market close on the previous business day.

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IB clients**	47%	47%	35%
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IB clients**	72%	70%	53%

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